

THE INVEST^{igator}

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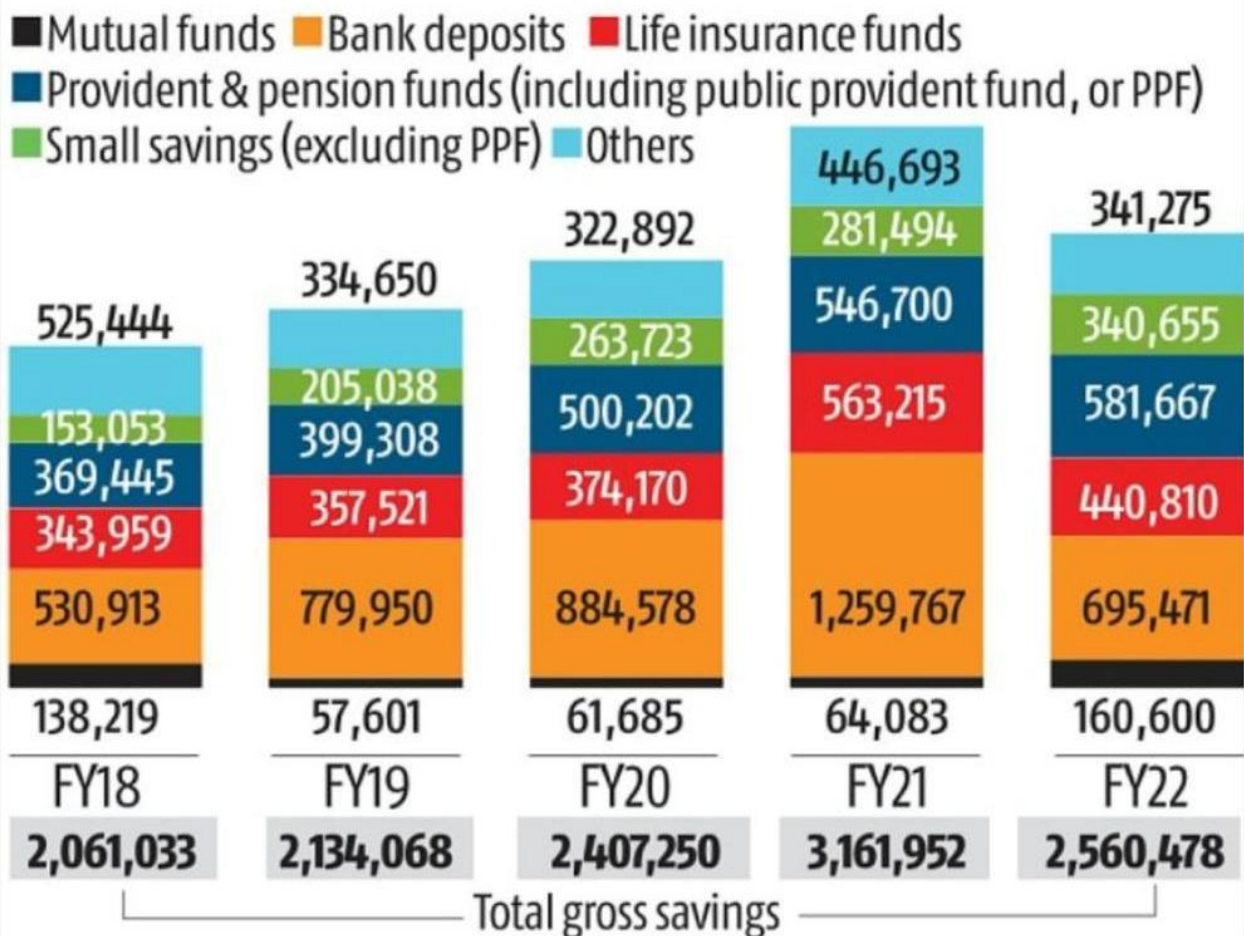
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Only 6.27% of Total Gross Savings gets invested in Mutual Funds

WHERE INDIA INVESTS AND HOW MUCH

Gross inflows of household savings in each instrument (₹ cr)



NOTICE

MF Investors Registered on NSE Platform

- All individuals registered on NSE Platform will have to update/declare **Relationship Status** of their **Contact Details** (Mobile number & Email id.)
- Declaration of such relationship status involves selecting any one option against their mobile number and email id from – **Self, Spouse, Guardian, Dependent children, Dependent Siblings & Dependent parents.**
- Please note that in absence of such declaration, investors will not be able to do online transactions.

IMPORTANT FINANCIAL RULES

Rule of 72 : Double Your Money

No. of yrs. required to double your money at a given rate, you just divide 72 by interest rate.

Eg.: if you want to know how long it will take to double your money at 8% interest, divide 72 by 8 & get 9 yrs.

At 6% rate, it will take 12 yrs.

At 9% rate, it will take 8 yrs.

100 - Minus Age Rule

This rule is used for asset allocation. Subtract your age from 100 to find out, how much of your portfolio should be allocated to equities.

- Age : 30 • Equity : 70% • Debt. : 30%
- Age : 60 • Equity : 40% • Debt. : 60%

Rule of 114 : Triple

No. of years required to triple your money at a given rate, you just divide 114 by interest rate.

Eg.: If you want to know how long it will take to triple your money at 12% interest, divide 114 by 12 and get 9.5 years.

At 6% interest rate, it will take 19 yrs.

10, 5, 3 : Rule

One should have reasonable returns expectations

- 10% - Rate of return (Equity / Mutual Funds)
- 5% - Debts (Fixed Deposits / Other Debt instruments)
- 3% - Savings Account

Rule of 144 : Quadruple

No. of years required to, quadruple your money at a given rate, you just divide 144 by interest rate.

eg.: If you want to know how long it will take to quadruple your money at 12% interest, divide 144 by 12 & get 12 yrs.

At a 6% interest rate, it will take 24 yrs.

50, 30, 20 : Rule

Divide your income into

- 50% - NEEDS - Groceries, Rent, EMI
- 30% - WANTS - Entertainment, Vacations, etc.
- 20% - SAVINGS - Equity, MFs, Debt, FD, etc.

At least try to save 20% of your income. You can definitely save more.

Rule of 70 : Inflation

Divide 70 by the current inflation rate to know how fast the value of your investment will get reduced to half its present value.

The inflation rate of 7% will reduce the value of your money to half in 10 years.

4% Withdrawal Rule

Corpus required 25 x Annual Expenses

eg.: The annual expense is 5 Lacs then the corpus required to retire is 1.25 Cr.

Put 50% into Fixed income & 50% into Equity.

Withdraw 4% every year, i.e. 5 Lacs.

This rule works for 96% of the time in 30 yr. period.

3X Emergency Rule

Always put at least 3 times your monthly income in Emergency funds for emergencies such as Loss of Employment, Medical Emergency etc.

3 X monthly income.

You can have around 6 X monthly income to be on a safer side.

40% EMI Rule

Never go beyond 40% of your income into EMI's.

Say you earn 50,000 per month. So you should not have EMI's of more than 20,000.

This Rule is generally used by Finance companies to provide loans. You can use it to manage your finances.

DISCLAIMER: The views expressed here cannot be construed to be a decision to invest. The statements / articles contained herein are based on current views and involve known & unknown risks and uncertainties. Swap Global Ventures Pvt Ltd. or its officers / directors shall have no responsibility or liability whatsoever for the accuracy or any use or reliance thereof of such information.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.



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